

Appendix

Key Factors in Evaluating Promising Firms*

My philosophy calls for making a relatively small number of investments but only in unusually promising companies. Obviously, I am looking for signs of growth potential in the companies I study. As important, I am trying, through my analysis, to avoid risk. I want to make sure that the firm's management has the ability to capitalize on the potential and to minimize my investment risks in the process. Summarized below are some of the defensive characteristics that I search for in the companies that are to meet my standards of unusual promise when I undertake financial analysis, interview management, and discussions with informed people associated with the industry.